

Money and Credit (Set B) — MCQ Worksheet

Social Science — Economics • Chapter 3 • 25 Questions, 1 mark each — Total: 25 marks

Instructions: Choose the correct option (A / B / C / D) for each question. Each question carries 1 mark. There is no negative marking. Suggested time: 30 minutes.

Q1. Barter system involves:

- (A) Direct exchange of goods for goods
- (B) Use of currency
- (C) Banks
- (D) Cheques

Q2. Money solves the problem of:

- (A) Double coincidence of wants in barter
- (B) Production
- (C) Transport
- (D) Education

Q3. Currency is issued by:

- (A) The central bank (RBI in India)
- (B) Any bank
- (C) Prime Minister
- (D) Private firms

Q4. RBI was established in:

- (A) 1935
- (B) 1947
- (C) 1969
- (D) 1991

Q5. Most deposits with commercial banks are:

- (A) Demand deposits
- (B) Fixed deposits only
- (C) Bonds
- (D) Shares

Q6. Demand deposits can be withdrawn:

- (A) On demand, by cheque
- (B) Only after 5 years
- (C) After 10 years
- (D) Never

Q7. Banks keep with themselves as cash approximately:

- (A) 15% of deposits (CRR plus operational cash)
- (B) 100%
- (C) 75%
- (D) None

Q8. Major activity of banks is:

- (A) Lend out deposits as loans and earn interest
- (B) Print currency
- (C) Build roads
- (D) Provide insurance only

Q9. Difference between borrowing rate (loan) and deposit rate is:

- (A) Source of bank's income (spread)
- (B) Tax
- (C) Penalty
- (D) Interest paid to RBI

Q10. Credit means:

- (A) Lender provides borrower with money/goods/services in return for future payment
- (B) Insurance
- (C) Charity
- (D) Donation

Q11. Property pledged as security for loan is:

- (A) Collateral
- (B) Premium
- (C) EMI
- (D) Token

Q12. Terms of credit include:

- (A) Interest rate, collateral, documentation, mode of repayment
- (B) Only interest
- (C) Only EMI
- (D) Only collateral

Q13. Major informal sources of credit in rural India:

- (A) Moneylenders, traders, employers, friends/relatives
- (B) Banks
- (C) Insurance
- (D) ATMs

Q14. Debt trap occurs when:

- (A) Borrower cannot repay and must take fresh loans, accumulating interest
(B) Loan is repaid easily
(C) No loan taken
(D) Banks lend only
- Q15.** Self-Help Groups (SHGs) typically have:
(A) 15–20 members from a neighbourhood pooling savings
(B) One person
(C) Government officials
(D) Foreign banks
- Q16.** Grameen Bank, microcredit model, started in:
(A) Bangladesh (1970s by Muhammad Yunus)
(B) India
(C) China
(D) Pakistan
- Q17.** Muhammad Yunus is associated with:
(A) Microcredit/Grameen Bank, Nobel Peace Prize
(B) Polio vaccine
(C) Internet
(D) Currency
- Q18.** Affordable credit is critical for:
(A) Development of country (investment, business, education)
(B) Lottery
(C) Tourism only
(D) Sports
- Q19.** Formal sources of credit require:
(A) Collateral and proper documentation, regulated by RBI
(B) No paperwork
(C) Family contact only
(D) No interest
- Q20.** Informal lenders typically charge:
(A) Higher interest rates than banks
(B) Lower interest
(C) Same rate
(D) No interest
- Q21.** Why is RBI's supervision of banks important?
(A) To protect depositors, ensure fair lending, control money supply
(B) Just symbolic
(C) Foreign control
(D) Nothing
- Q22.** Demonetisation of Rs 500 and Rs 1000 notes occurred in:
(A) 2016
(B) 2014
(C) 2018
(D) 2020
- Q23.** NEFT, RTGS, IMPS are forms of:
(A) Electronic funds transfer
(B) Currency
(C) Insurance
(D) Loans
- Q24.** Why should rural households access bank credit instead of moneylenders?
(A) Banks offer lower interest, transparent terms, protect from debt trap
(B) Banks pay them
(C) Moneylenders dangerous physically
(D) Banks give free money
- Q25.** A loan from a moneylender at 5% per month implies annual interest rate of about:
(A) 60% ($5\% \times 12$) plus compounding effect
(B) 5%
(C) 10%
(D) 1%